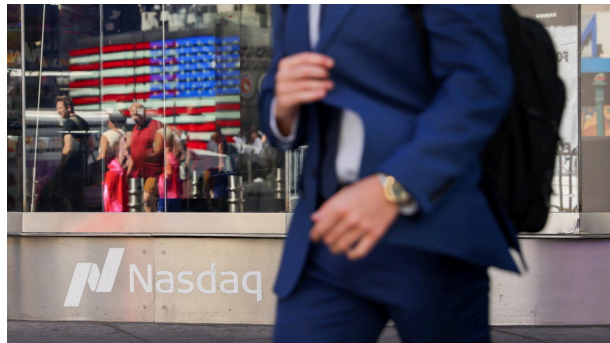


World in Brief: Stock markets fall on AI fears; Rubio weighs in on Hormuz toll



Photograph: Getty Images

Markets continued on their dizzy way, as stocks in Asia first rose then fell in early trading. South Korea's KOSPI leapt by 4% before receding. On Tuesday it fell by 10%. In America the S&P 500 closed down by almost 1.5% and the tech-heavy NASDAQ by 2.2%. Investors seem undecided whether [artificial-intelligence stocks](#) are overvalued. They also worry that American interest rates might rise.

Marco Rubio warned that “no country is allowed to charge tolls” for passage through the **Strait of Hormuz**. Iran has said it might collect money from ships traversing the waterway. Earlier Mr Rubio said that America was brokering a fifth round of peace talks between [Israel and Lebanon](#) in Washington, which was “separate” from negotiations on an Iran peace deal.

The EU, Germany and the Netherlands joined **Pax Silica**, an American-led alliance seeking to secure artificial-intelligence supply chains in the face of [Chinese competition](#). Several other countries, including Argentina and Kazakhstan, are expected to sign up this week, to take the group's membership to 24. They hope to protect supply chains on everything from critical minerals to semiconductors.

Left-wing **Democrats** won several congressional primaries in **New York**, in a boost for the city's mayor, Zohran Mamdani. The [Democratic Socialist](#) had endorsed the insurgent candidates over the more moderate incumbents favoured by the party's establishment; the results set him up as kingmaker and could change the direction of the Democrats on a national level.

Ukraine attacked the Russian-occupied territory of **Crimea** with drones, hitting a large power plant and leaving the city of Sevastopol without power. The Crimean peninsula has been [under constant attack for months](#), with Ukraine targeting energy infrastructure such as power lines and oil terminals. Crimea is strategically important, serving as a bridgehead and supply base for Russia's army.

England and Wales issued a red **extreme heat** warning, as **Europe** sweltered under record temperatures. With the mercury likely to hit the high-30s, hundreds of schools plan to close and train companies warned against travel. In France at least 40 people have drowned over the past week while escaping the heat in rivers and canals. Spain is also experiencing [record-breaking temperatures](#).

A **Chinese supercomputer** was crowned the world's most powerful computing system for the first time since 2017. LineShine displaced America's El Capitan in the bi-annual rankings, impressing researchers with its speed. It is [powered](#) entirely by central-processing units; supercomputers usually run on graphics-processing units, which can run thousands of tasks simultaneously. The systems are used for medical research and advanced modeling.

Figure of the day: \$5.30 a pound, the price pistachios fetched in America in May, the highest figure in a decade. Read about the Iran war's impact on [nuts in California](#).

Pedro Sánchez plays the victim



Photograph: Alamy

When Pedro Sánchez, Spain's prime minister, addressed parliament on Wednesday about the scandals enveloping his Socialist Workers' Party he presented himself as a victim. A maverick judge has sent his wife to trial on charges that she used her influence to get, and profit from, a university job for which she was unqualified. He ordered her to surrender her passport, saying (improbably) that her police escort might help her flee. She denies wrongdoing. Ministers complain that the judge has a political agenda.

That has distracted attention from more serious cases against Socialist officials. On Monday José Luis Ábalos, Mr Sánchez's former right-hand man, was sentenced to 24 years for taking bribes on contracts for face masks during the pandemic. Others are also being investigated for corruption. Erstwhile allies of the prime minister as well as the conservative opposition are demanding that he [call an election](#). But he insists he will stay until one is due next year.

The politics of jubilation



Photograph: Getty Images

America's 250th birthday is approaching and Donald Trump is ready to party. The president is selling "Trump 250" branded blankets (\$200), jigsaws (\$50) and golf balls (\$18). Coins minted with Mr Trump's face are on the way. For a limited time his portrait will be printed into new American passports issued out of Washington (priceless). On Wednesday Mr Trump hosts an opening ceremony for the Great American State Fair, a patriotic jamboree running in the capital until July 10th.

The event is organised by Freedom 250, a group created by the Trump administration that is separate from America250, Congress's commission for nationwide celebrations created in 2016. States are also holding their own festivities. That has led to confusion and fights over funding. Several musicians have dropped out of Mr Trump's fair citing concerns about politicisation; the president called their acts "overpriced" and declared himself the headliner. Planning a party is no piece of cake.

Can memory-chip makers keep growing?



Photograph: Getty Images

Few parts of the technology industry have benefited more from the [artificial-intelligence boom](#) than memory-chip makers, whose shares have soared over the past year. On Wednesday investors will scrutinise quarterly financial results published by Micron Technology, an American producer, for signs of whether the rally can continue.

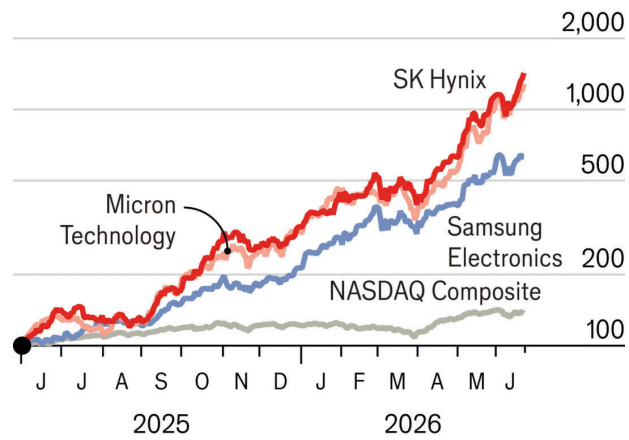
In recent days it has faltered. The shares of sk Hynix, a South Korean manufacturer, dropped by more than 10% on Tuesday and Micron's are down by 7%. One worry is that higher memory costs could [depress demand for devices](#) that use them. Gartner, a consultancy, expects a drop in sales of consumer electronics this year, with PC shipments down by 10% and smartphone deliveries by 8%.

The memory-chip industry is prone to swing between shortage and glut. Right now, manufacturers are racing to expand production, but factories take years to build. Some investors fear that by the time they're ready, customers will not be as keen to buy the chips they'll make.

Value storage

Share prices, June 1st 2025=100

Log scale



Source: LSEG Workspace

An UNattractive job, but someone has to do it



Photograph: Alamy

Who would want to be secretary-general of the United Nations? Strongmen are undoing global order; the body is skint and often paralysed; and it is failing in its mission to “save succeeding generations from the scourge of war”. Yet at least six candidates want the thankless job, and are expected to appear at a think-tank forum in the South Korean town of Jeju on Thursday.

Buggins’ turn says a candidate from Latin America or the Caribbean should succeed António Guterres, a European. No woman has held the job. Cue five hopefuls from the region (a mix of ex-presidents, ministers and UN officials) of which four are women: Michelle Bachelet of Chile; Carolyn Rodrigues-Birkett of Guyana; María Fernanda Espinosa Garcés of Ecuador; Rafael Mariano Grossi of Argentina; and Rebeca Grynspan of Costa Rica. Macky Sall of Senegal makes six.

The big powers will decide, so watch Mr Grossi, head of the International Atomic Energy Agency—especially if he can help facilitate a nuclear deal between America and Iran.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which actor rose to fame playing a modern version of Sherlock Holmes before playing Dr Strange in various Marvel movies?

Tuesday: The singer Concetta Rosa Maria Franconero went under which stage name?

*A man must be strong enough to
mold the peculiarity of his
imperfections into the perfection
of his peculiarities.*

Walther Rathenau